

DECK INDEX • PART 1

01:

Capital Structure

02:

Financial Leverage

03:

Operating Leverage

04:

Combined Leverage

05:

EBIT-EPS Analysis

06:

Indifference Point

07:

Net Income Approach

08:

NOI Approach

09:

Traditional Approach

10:

MM Proposition I

11:

MM Proposition II

12:

MM With Taxes

13:

Trade-off Theory

14:

Pecking Order

15:

Agency Cost Theory

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CAPITAL
STRUCTURE

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FINANCIAL
LEVERAGE

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OPERATING
LEVERAGE

YAADCARD.IN

COMBINED
LEVERAGE

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EBIT-EPS
ANALYSIS

YAADCARD.IN

INDIFFERENCE
POINT

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NET
INCOME
APPROACH

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NOI
APPROACH

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TRADITIONAL
APPROACH

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MM
PROPOSITION
I

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MM
PROPOSITION
II

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FOLD TOP

FOLD BOTTOM

EBIT-EPS ANALYSIS

Compares financing plans across EBIT levels

Technique to study effect of alternative financing plans on EPS at varying EBIT levels.

Plots EPS vs EBIT lines

Finds best plan per EBIT range

COMBINED LEVERAGE

Total risk from operating and finance

Joint effect of operating and financial leverage on EPS when sales change.

DCL = DOL × DFL

Measures total firm risk

OPERATING LEVERAGE

Fixed costs magnify EBIT changes

Measures how sensitive EBIT is to changes in sales due to fixed operating costs.

DOL = %ΔEBIT / %ΔSales

High fixed cost = high DOL

FINANCIAL LEVERAGE

Debt used to boost equity returns

Use of fixed-cost debt to magnify shareholder returns; higher debt raises financial risk.

DFL = %ΔEPS / %ΔEBIT

Mnemonic: More Debt = More Drama

CAPITAL STRUCTURE

Mix of debt and equity financing

The proportion of debt and equity a firm uses to finance its total assets and operations.

Formula: V = E + D

Goal: minimize WACC, maximize value

[Debt] + [Equity] = Firm

DECK INDEX • PART 2

16: Signaling Theory

17: Cost of Equity

18: Cost of Debt

19: Cost of Preference

20: WACC

21: Marginal Cost

22: Optimal Structure

23: Financial Risk

24: Business Risk

25: Bankruptcy Cost

26: Tax Shield

27: Homemade Leverage

28: Debt-Equity Ratio

29: Interest Coverage

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NET OPERATING INCOME

Value independent of capital structure

Overall cost of capital and firm value stay constant regardless of debt-equity mix.

Also by David Durand

WACC remains constant always

NET INCOME (NI)

Durand's theory: more debt, more value

Value of firm rises as debt increases since debt is cheaper than equity capital.

Proposed by David Durand

Ke and Kd stay constant

INDIFFERENCE POINT

EBIT where financing plans give equal EPS

EBIT level at which EPS is the same under two different financing alternatives.

Below point: prefer equity financing

Above point: prefer debt financing

MM PROPOSITION II

Cost of equity rises with leverage

Cost of equity increases linearly as debt-equity ratio rises, offsetting cheaper debt.

Re = Ra + (Ra - Rd) D/E

Risk premium grows with debt

MM PROPOSITION I

No tax: capital structure irrelevant

Modigliani-Miller: firm value is independent of its capital structure under no-tax assumptions.

VL = VU (no tax)

Arbitrage keeps values equal

TRADITIONAL APPROACH

Optimal mix minimizes WACC

An intermediate view: an optimal capital structure exists where WACC is minimum.

WACC first falls, then rises

U-shaped WACC curve

MM
WITH
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EQUITY

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OF
DEBT

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PREFERENCE

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DEBT-EQUITY
RATIO

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INTEREST
COVERAGE

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COST OF EQUITY (KE) Return required by shareholders Minimum return equity investors expect, often estimated using the CAPM model. $K_e = R_f + \beta(R_m - R_f)$ Highest cost source of capital	SIGNALING THEORY Debt signals manager confidence Stephen Ross: raising debt signals management's confidence in future stable cash flows. Equity issue signals overvaluation Debt seen as positive signal	AGENCY COST THEORY Conflicts between owners and managers Debt reduces agency costs of free cash flow but raises costs of shareholder-bondholder conflict. By Jensen & Meckling, 1976 Debt disciplines management spending	PECKING ORDER THEORY Firms prefer internal funds first Myers' theory: firms rank financing preference as retained earnings, then debt, then equity. By Stewart Myers, 1984 Mnemonic: RIDE – Retained, Internal, Debt, Equity	TRADE-OFF THEORY Balances tax shield vs bankruptcy cost Firms balance debt's tax benefits against rising bankruptcy and financial distress costs. Optimal point: marginal benefit=cost Extends MM tax model	MM WITH TAXES Debt tax shield raises firm value With corporate tax, value rises with debt due to interest tax shield benefit. $V_L = V_U + T_c D$ More debt is now favored
FINANCIAL RISK Variability in EPS due to debt Additional risk borne by shareholders because of fixed interest and principal repayment obligations. Rises with debt-equity ratio Measured via DFL indicator	OPTIMAL CAPITAL STRUCTURE Debt-equity mix maximizing firm value The debt-equity combination that minimizes WACC and thus maximizes market value of firm. Balances risk and return trade-off No single formula, judgment based	MARGINAL COST OF CAPITAL Cost of raising the next rupee Cost of obtaining one additional unit of new capital, rising as more funds are raised. Rises after break-even points Guides new project financing	WACC Blended cost across all capital Weighted average cost of equity and debt, used as the firm's discount rate. $WACC = (E/V)R_e + (D/V)R_d(1 - T)$ Lower WACC raises firm value	COST OF PREFERENCE Fixed dividend cost of pref. shares Cost of raising funds via preference shares, based on fixed dividend commitment. $K_p = \frac{D_p}{N_p}$ No tax shield on dividend	COST OF DEBT (KD) After-tax interest cost of debt Effective rate a firm pays on borrowed funds, adjusted for the tax deductibility of interest. $Kd = I(1 - T)$ Cheapest source due to tax shield
INTEREST COVERAGE RATIO Ability to pay interest from EBIT Measures how many times a firm's EBIT can cover its interest expense obligations. $ICR = \frac{EBIT}{Interest}$ Low ratio signals default risk	DEBT-EQUITY RATIO Key leverage and solvency measure Ratio showing proportion of debt to equity, indicating leverage level and financial risk. $D/E = \frac{TotalDebt}{TotalEquity}$ Higher ratio = higher risk	HOMEMADE LEVERAGE Investors replicate leverage personally MM's arbitrage idea: investors can borrow personally to offset a firm's lack of leverage. Basis of MM Proposition I proof Makes firm leverage irrelevant	TAX SHIELD Interest expense reduces taxable income Reduction in tax liability due to deductibility of debt interest, adding value to firm. $TaxShield = Interest \times T$ Key driver of MM with tax	BANKRUPTCY COST Cost of financial distress from debt Direct and indirect costs incurred when a highly leveraged firm faces default risk. Direct: legal, admin expenses Indirect: lost sales, reputation	BUSINESS RISK Variability in EBIT from operations Inherent uncertainty in operating income caused by demand, cost structure, and industry factors. Independent of financing choice Measured via DOL indicator